

THE FEDERAL UNIVERSITY OF TECHNOLOGY, AKURE
SCHOOL OF MANAGEMENT TECHNOLOGY

DEPARTMENT: PROJECT MANAGEMENT TECHNOLOGY

EXAMINATION: 200 LEVEL – 2nd SEMESTER 2013/ 2014 SESSION

TIME ALLOWED: 1 HOUR

COURSE: PRINCIPLES OF ECONOMICS (PMT 210)

Instruction: ATTEMPT ALL QUESTIONS.

Jomo

SECTION A

Quantity	Total fixed cost	Total variable cost	Total cost	Marginal cost	Average total cost	Average fixed cost	Average variable cost
0	100	0	100	1 0	2 0	3 0	4 0
1	100	42 25	125	5 25	6 125	7 100	8 25
2	100	43 40	140	9 15	10 70	11 50	12 20
3	100	44 50	150	13 30	14 50	15 33.3	16 16.7
4	100	45 30	170	17 20	18 42.5	19 25	20 17.5
5	100	46 00	200	21 20	22 40	23 20	24 20.0
6	100	46 145	245	25 55	26 40.8	28 16.7	29 24.2
7	100	48 265	305	60	30 43.6	31 14.29	32 29.3
8	100	49 285	52 385	80	33 46.3	34 12.5	35 35.6
9	100	50 385	53 485	100	36 53.7	37 11.1	38 42.8
10	100	51 515	54 615	130	39 61.5	40 10	41 51.5

In the above table answer question numbered .1 to 54 in bold italic format (show workings)

SECTION B

55. What are economic resources?

.....

56. is a theory of international trade where country specializes due to advantage. While is where country specializes due to unavailability of resources in the other country?

57. is the process by which the monetary value of a commodity is determined by market forces.
58. Is the type of demand where two commodities are use together such that one is not useful without the other
59. Increases the tempo of national income and Reduces it.
60. Is holding of money for the purpose of generating income
61. Is that which their face value was higher than the intrinsic value
62. measures the degree of responsiveness of demand for a commodity to changes in price, income and prices of other commodity.
63. The type of economic system where the state decide what to produce is known as.....
64. A rightward shift in demand curve is know as.....
65. The medium of measurement in a cardinalist school of thought is
66. The idea of ordinality shows that utility is.....
67. If two indifference curve intersect, it has contravene the validity of.....
68. If the coefficient of income is negative and less than 1 such good is said to be..... *Necessary goods / inferior good*
69. If the coefficient of cross elasticity is positive and greater than 1, such good is said to be..... *Substituent goods*
70. The supply of labour in the short-run is.....
71. A good example of circulating capital is.....
72. After making allowance for depreciation, what is left over in total production is called.....
73. If a deposit of 250,000 is received by a bank A and CBN's cash reserve ratio is 15%, what is the excess reserve?
74. The level at which the rate of interest does not affect the quantity of money held by individual is called.....
75. In quantity theory of money of Irving fisher $MV=PT$. what does? V and P stand for.....

PRINCIPLES OF ECONOMICS: GNS 202

MID SEMESTER TEST MAY 2009

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1. Microeconomics deals with the study of _____
2. Macroeconomics deals with the study of _____
3. Another name for social sciences is _____
4. The self-interested behaviour of consumers is called _____ behaviour.
5. Adam Smith described self interest as the _____
6. An economic system characterized by state ownership of all resources is called _____
7. The sacrifice a consumer makes in foregoing A in order to consume B is called _____
8. Ceteris paribus means _____
9. In the mathematical relation $Y = f(x)$
Y is the dependent variable.
10. x is the independent variable.
11. The quantity demanded of a product is inversely proportional to price.
12. The ability to produce something at a lower opportunity cost than other producers is called _____
13. The income payment to the factor of production land is called _____
14. The space inside the production possibilities curve represents _____
15. Economic growth results in _____ shift of the production possibilities curve.
16. A straight line graph parallel to the x-axis has _____ slope.
17. A shift of the demand curve from the right to the left represents _____ in demand.
18. A good for which demand decreases as income increases is called _____
19. The production function for a good consisting of three inputs can be expressed as _____
20. One of the questions an economic system must answer is _____